Department of Education
SCHOOLS DIVISION OF CITY OF MEYCAUAYAN
Pag-asa St., Malhacan, City of Meycauayan, Bulacan

Senior High School

12

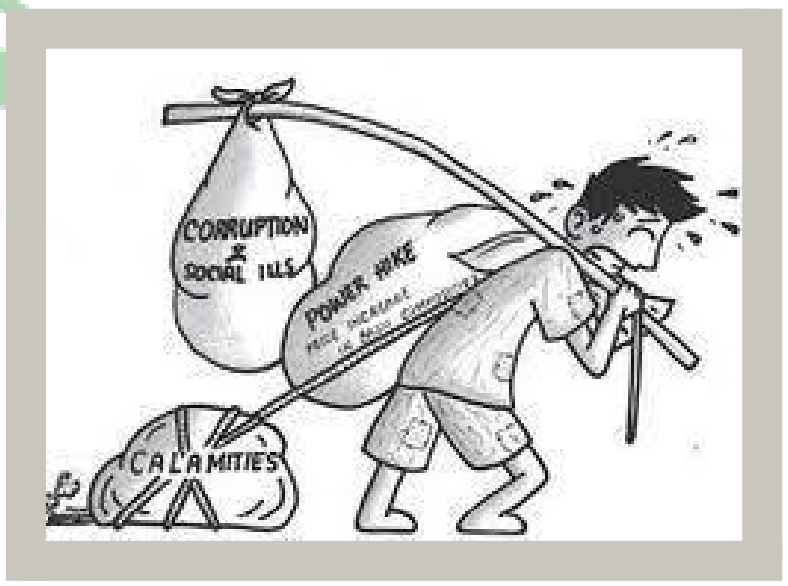
Activity Sheet in

Applied Economics

Quarter 1 – Examine the utility and application of applied economics to solve economic issues and problems. (ABM_AE12-Ia-d-3)

BASIC ECONOMIC PROBLEMS AND THE PHILIPPINE SOCIOECONOMIC DEVELOPMENT IN THE 21ST CENTURY

LET US KNOW

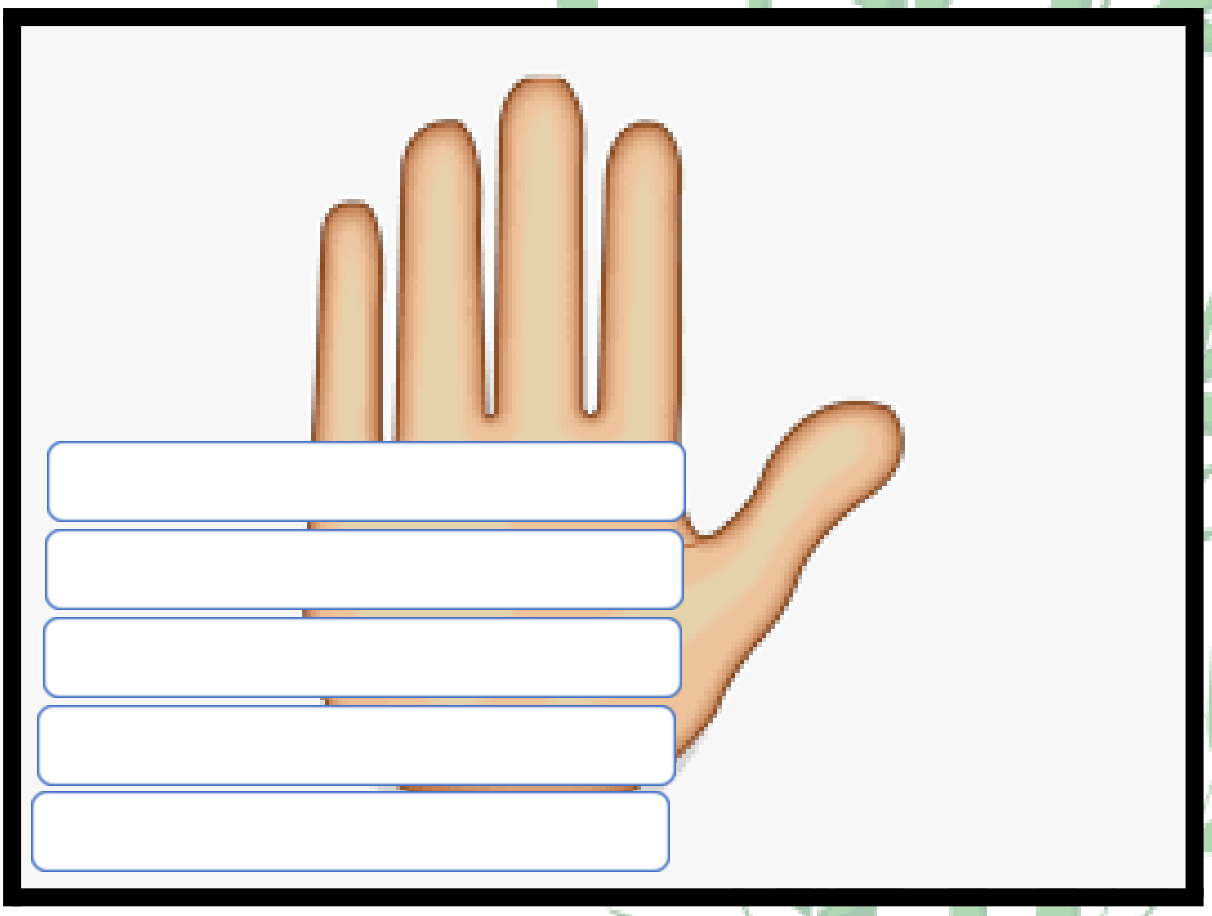


https://www.pinterest.ph/yangkumigomez/editorial-cartooning-examples/

What does this illustration show? Typical of the growing economy, the Philippines is confronted with several problems which prevent its citizen in realizing a meaningful life, on the one hand, and in pushing its socioeconomic development, on the other hand. In this module, we will discuss some of the basic problems confronting the Philippine economy. We will relate them to the insufficiency of resources, limited freedom and the formation of low dignity among our people. In addition, these issues and problems will also be linked with the challenges that face our nation as it moves forward to a more prosperous Philippines in the 21st century.

LET US REVIEW

Give five most important words that you learned from our previous lesson. Write these words inside the fingers. From these words, write your own definition based from what you have understood it. Write your own definition inside the box.



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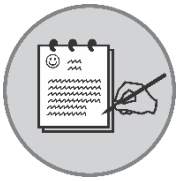


LET US STUDY
BASIC ECONOMIC PROBLEMS CONFRONTING THE DEVELOPMENT OF THE PHILIPPINES IN THE 21ST CENTURY

I. POVERTY AND UNEQUAL DISTRIBUTION OF INCOME

Poverty is a state or condition in which a person or community lacks the financial resources and essentials for a minimum standard of living. **Poverty** means that the income level from employment is so low that basic human needs can't be met.

Two categories of poverty

ABSOLUTE POVERTY-

The lack of income to buy the basic food and necessities for subsistence living.

RELATIVE POVERTY-

Refers to the structure on how the national income is being distributed among households in an economy.

There are various interventions being implemented by various economies including the Philippines in addressing the problem of the immediate poverty. For absolute poverty, the immediate intervention, is to provide free meals, housing, and adequate clothing. But these measures are temporary gap measures and do not provide long term solutions to the problem of poverty. In addressing the issue of relative poverty, on the other hand, measures like progressive taxation, income transfers, and other programs meant to improve the income distribution can be implemented.

II. DEMOGRAPHIC CHANGES AND ITS ECONOMIC IMPLICATIONS

The population density of the Philippines is high, but the distribution of the population is uneven. Parts of Metro Manila have a population density that is more than 100 times that of some outlying areas such as the mountainous area of northern Luzon.
The country's birth rate remains significantly higher than the world average, as well as the average for the Southeast Asian region. **Demographic change** can influence the underlying growth rate of the economy, structural productivity growth, living standards, savings rates, consumption, and investment; it can influence the long-run unemployment rate and equilibrium interest rate, housing market **trends**, and the demand for financial assets.

III. LOW INVESTMENT IN HUMAN RESOURCES DEVELOPMENT

The main reasons of a high poverty rate and low poverty progress in the Philippines are related to number of factors. One of important factor is related to inadequate human resource development conditions. Human resources development (HRD) refers to the vast field of training and development provided by organizations to increase the knowledge, skills, education, and abilities of their employees. In many organizations, the human resources development process begins upon the hiring of a new employee and continues throughout that employee's tenure with the organization. Compared to non-poor, the poor suffer inadequate access to basic education due to lower participation rate, higher dropout rate, drop out at early ages and drop out before getting completion with certificates. The poorer the region the worse the situation. Furthermore, the poor also suffer from low quality of education compared to non-poor as the poor tend to go to public schools that have worse achievements in national tests compared to private. The low-quality education provided to the poor is also seen in quality gaps between public schools themselves where public school in richer regions have better funding opportunities. With a lack of access to education with good quality, the poor seems to have disadvantages in competition with non-poor in labor markets. Within wage employed, they tend to be unskilled workers whose wage has relative deterioration compared to all other resource owners.

IV. WEAK INFRASTRUCTURE

The Philippines enjoys tremendous endowments of natural, and human resources that provide great potential for economic development and poverty reduction. However, overall development outcomes over the last decades have fallen short of potential. The gap can be largely attributed to weak performance of public institutions in providing services to citizens, which leads to a vicious cycle of weak public services, lack of trust in the government, and unwillingness on the part of citizens to provide adequate resources to the government. The key development challenge, therefore, is to reverse the cycle to one of virtuous development where increased government revenue translates into improved service delivery and greater public trust in the government. Infrastructure plays an important role in this development process. Insufficient infrastructure has been a major constraint to economic growth and poverty reduction in the Philippines. Though the country has relatively high access levels to water, sanitation, and electricity, service levels have failed to keep up with rapid population growth and urbanization. Infrastructure development in the

country is hampered by a poor business environment; weaknesses in planning, coordination, and financing; and a decrease in private sector involvement in infrastructure provision.

V. FOOD SECURITY

Food security, as defined by the Food and Agriculture Organization, is a situation that exists where "all people have physical, social and economic access to sufficient, safe and nutritious food that meets their dietary needs and food preferences for an active and healthy lifestyle at all times." It exists in four dimensions: food availability, economic and physical access to food, food utilization and stability over time.

A growing income gap between the upper and lower classes has hampered proper access and utilization to food, especially for those who lie in the lower income brackets. So, what factors lead to food insecurity in the Philippines?

The economy of the Philippines is heavily dependent on agriculture. Most of what constitutes food security in the country depends on the agricultural sector; therefore, challenges faced by Filipino farmers and fishermen often have a detrimental effect on food security in the country.

The Philippines is full of fertile lands ready to be cultivated for agriculture. It is the inconsistency of supply due to external disruptions from both controllable and uncontrollable factors that pose a challenge to food availability in the country.

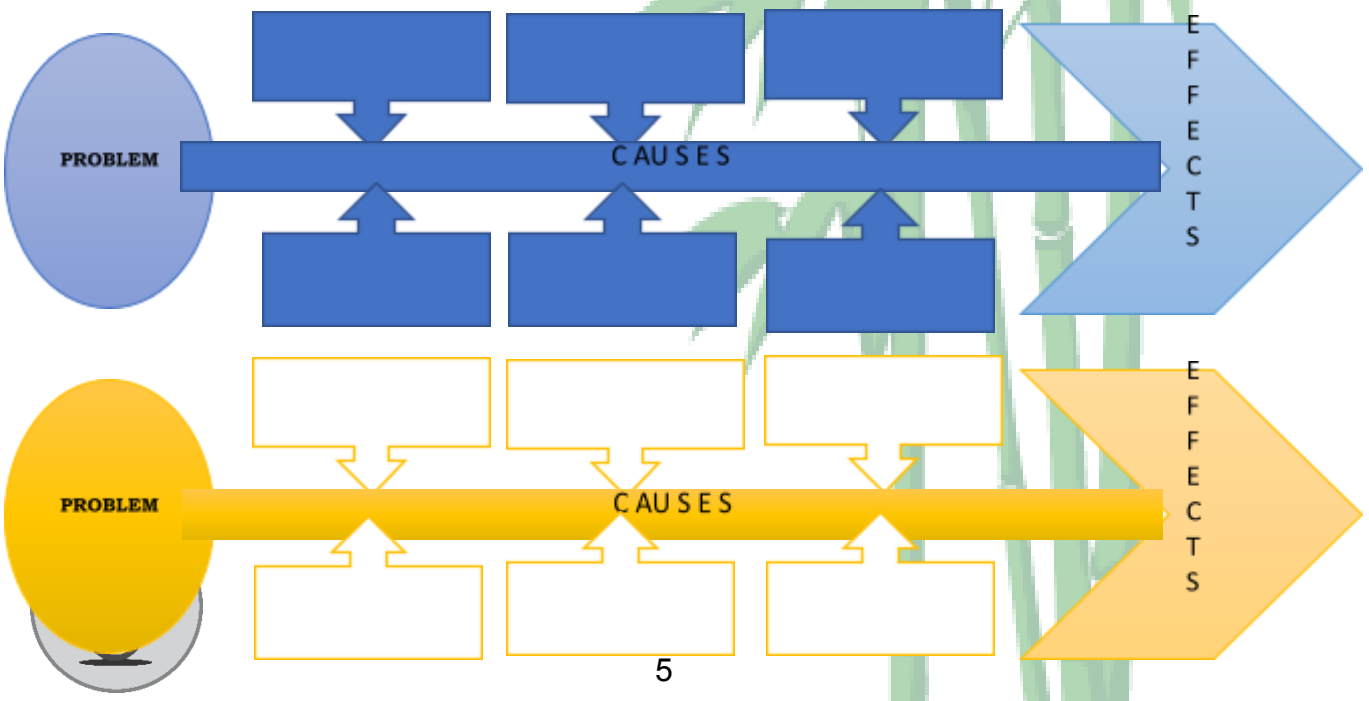
The prevalence of natural calamities is one of the factors that contribute to food insecurity in the Philippines. The Philippines' location in the middle of the Pacific makes the country susceptible to typhoons and droughts, some with devastating effects

Another factor that contributes to the inconsistency of food supply in the market is the lack of accessible roads that link farms to retailers. The notable absence of farm-to-market roads (FMRs), which are national roads that connect farms and coastal areas to main highways, renders farmers unable to transport their goods.

The biggest challenge to accessing food in the Philippines is the lack of income due to unemployment. This problem is especially prevalent in the southern island group of Mindanao, where nine of the 16 poorest provinces lie.

LET US PRACTICE (Written Works)

Choose TWO among the different economic problems. Fill out the Ishikawa diagram.



LET US REMEMBER

The main economic problem confronting the development of our country in the 21st century is poverty and unequal distribution of income. Poverty is when a family has insufficient income to provide the basic needs, including nutritional requirements for everyday living.

Low investment in Human Resource Development also affects the economic problem in our country. Some income is less than the minimum requirement; they are underemployed. A large portion of Filipinos are still unemployed, even those who graduated with a degree. It is said that only 1/4 of the Filipinos can find good jobs in the country, while the rest find jobs overseas or end up becoming unemployed or underemployed. Low income can lead to hunger for some Filipino families.

Another problem would be the growth of the country's population, or the demographic changes and its economic implications. A weak infrastructure (roads, ports, air transport, railroads) also has an impact in our economy.

LET US PRACTICE MORE (Performance Task)

In the first column, identify the basic economic problems confronting the development of the Philippines in the 21ST century. In the second column, briefly discuss its background, and in the third, identify possible solution that will mitigate such problem.

BASIC ECONOMIC PROBLEMS CONFRONTING THE DEVELOPMENT OF THE PHILIPPINES IN THE 21ST CENTURY	DESCRIPTION	SOLUTION:

EVALUATION (Performance Task)

I. MULTIPLE CHOICE.

1. Which of these is NOT a characteristic of a developing nation?
A. inconsistent economic development
B. attempting to improve the lives of its citizens
C. low income
D. high literacy rate

2. Which is LEAST likely to be a motivation for mass migration?
A. finding beautiful landscapes
B. escaping war
C. seeking economic opportunity
D. escaping natural disasters

3. What is frequently associated with rapid urbanization?
A. adequate infrastructure
B. decrease in crime
C. housing shortages
D. transportation improvements

4. **Economic growth measures the _____.**
A. growth of productivity
B. increase in nominal income
C. increase in output
D. none of the above

5. Most lists of basic human needs include all the following items except
A. basic transportation, such as bicycles.
B. minimal levels of nutrition
C. minimal provision of shelter
D. provision of basic health care

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